



SPONSOR: Sen. Mantzavinos & Sen. Townsend & Rep. K. Williams
Sens. Hansen, Hoffner, Huxtable, Lockman, Sokola,
Walsh; Reps. Burns, K. Johnson, Morrison, Osienski,
Snyder-Hall

DELAWARE STATE SENATE
153rd GENERAL ASSEMBLY

SENATE BILL NO. 156

AN ACT TO AMEND TITLE 6 OF THE DELAWARE CODE RELATING TO THE MEDICAL DEBT PROTECTION ACT.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF DELAWARE:

Section 1. Amend Chapter 25J, Title 6 of the Delaware Code by making deletions as shown by strike through and insertions as shown by underline as follows:

§ 2502J. Definitions.

For purposes of this chapter:

(4) “Extraordinary collection action” means any of the following:

a. Selling an individual’s debt to another party, except if, prior to the sale, the medical creditor has entered into a legally binding written agreement with the medical debt buyer of the debt under which all of the following apply:

1. The medical debt buyer or collector is prohibited from engaging in any extraordinary collection actions to obtain payment for the care.

2. The medical debt buyer is prohibited from charging interest on the debt.

3. The debt is returnable to or recallable by the medical creditor upon a determination by the medical creditor or medical debt buyer that the individual is eligible for financial assistance.

4. The medical debt buyer is required to adhere to procedures which must be specified in the agreement that ensure that the individual does not pay, and has no obligation to pay, the medical debt buyer and the medical creditor together more than they are personally responsible for paying in compliance with this chapter.

5. The medical debt buyer is prohibited from communicating with or reporting any medical debt information to any consumer reporting agency regarding a consumer’s medical debt.

(13) “Medical debt information” means information that pertains to any debt owed for health care services.

~~(13)~~(14) “Patient” means the individual who received health-care services, and for the purposes of this chapter, includes a parent if the patient is a minor or a legal guardian if the patient is an adult under guardianship.

(14)(15) “Time of service” means before a patient leaves or is discharged from a large health-care facility, or within 10 days of discharge if the patient receives emergency care from a large health-care facility or from a provider employed by a large health-care facility.

§ 2507J. Medical debt and consumer reporting agencies.

~~(a) For a period of 1 year following the date when the consumer was first given a bill for medical debt or 3 months following the date of the most recent payment made towards a payment plan on medical debt, whichever is later, no medical creditor or medical debt collector may communicate with or report any information to any consumer reporting agency regarding such medical debt.~~

~~(b) After the time period described in subsection (a) of this section, medical creditors and medical debt collectors must give consumers at least 1 additional bill before reporting a medical debt to any consumer reporting agency. The amount reported to the consumer reporting agency must be the same as the amount stated in this bill, and such bill must state that the debt is being reported to a consumer reporting agency. Medical debt collectors must also provide the notice required by 15 U.S.C. § 1692g before reporting a debt to a consumer reporting agency.~~

(a) No person may communicate with or report any medical debt information to any consumer reporting agency.

(b) A consumer reporting agency is prohibited from making a consumer report that the consumer reporting agency knows or should know contains medical debt information.

(c) A person who uses a consumer report may not use medical debt information listed on the report as a negative factor when making any credit, employment, or housing decision.

SYNOPSIS

This Act prohibits the reporting of medical debt information to consumer reporting agencies and prohibits any medical debt information that is contained in any consumer report from being used when making decisions regarding someone’s credit, employment, or housing. Since 2023, at least 9 other states have passed laws that prohibit or restrict the reporting of medical debt on credit reports, including California, New Jersey, and Virginia.

Author: Senator Mantzavinos